

mimicking the natural GLP-1 hormone. Sun Pharma is also developing a generic version of Semaglutide for the India market which is under clinical evaluation, says Shanghvi.

These drugs help regulate blood sugar levels by stimulating insulin secretion, reducing glucagon production, slowing gastric emptying and suppressing appetite. As a result, they not only improve glycaemic control but also contribute to weight loss, making them increasingly relevant in the treatment of metabolic disorders. Beyond diabetes management, these drugs are being studied for cardiovascular benefits, prompting pharmaceutical companies, including Sun Pharma, to invest in R&D in this area. The soaring global demand for weight-loss drugs like Ozempic and Wegovy has made GLP-1 inhibitors a multibillion-dollar opportunity.

Sun Pharma is also advancing its R&D pipeline with six new active substances at various stages of clinical trials. "We are encouraged by the progress of these molecules," says Shanghvi. The company has also built a cash reserve of close to \$3 billion that it intends to use for acquisitions and licensing opportunities.

WEATHERING THE STORM

Beyond specialty products, the company remains committed to improving access to medicines in India. "Ensuring wider availability of medicines and patient compliance is important for India's health security," says Shanghvi. The growth has come despite a challenging global environment. "Current geopolitical issues are creating uncertainties around supply chains, inflation, and overall economic conditions," he says. Additionally, pricing pressures in the US generics market, driven by customer consolidation and competition, remain a concern. "There is also uncertainty around tariffs in the US," he says. Foreign exchange volatility, particularly in emerging markets, could also impact reported growth. "Even if these markets are growing in local currency terms, forex fluctuations can affect the overall performance," he says.



18%

**THE SPECIALTY
SEGMENT'S SHARE
IN FY24, FROM 8%
IN FY19**

\$3

**BILLION
CASH RESERVE
OF THE COMPANY
WHICH IT INTENDS
TO USE FOR
ACQUISITIONS
AND LICENSING
OPPORTUNITIES**

6.7%

**R&D SPEND AS A
PERCENTAGE
OF TOTAL SALES
IN FY24**



However, Sun Pharma is focused on addressing complex challenges and maintaining competitiveness. "We have always approached our business with the mindset of competing with the larger players. In generics, we grew by expanding steadily. In the global specialty business, despite exceeding \$1 billion in annual revenue, we remain relatively small, which allows us to be nimble and adapt quickly," says Shanghvi. "Our ability to improve consistently has helped us grow faster than the industry. That will remain our approach," he adds.

Sun Pharma's growth outlook remains stable, with Nirmal Bang Equities projecting a 10% CAGR in revenue, 12% in Ebitda, and 20% in net profit over FY24-27 supported by expansion of its specialty pipeline and steady domestic performance. The brokerage says "while near-term concerns, including additional costs and revenue impact from the Halol import alert and Mohali plant issues, as well as increased R&D expenses and slightly reduced topline growth, persist, we remain confident of Sun Pharma's long-term growth trajectory." These issues stem from US Federal Drugs Administration inspections that flagged quality concerns, temporarily restricting exports from these facilities.

The report says the global specialty segment is expected to grow at a 14.5% CAGR, driven by "continued ramp-up in Winlevi and Ilumya, which will be partially offset by heightened generic competition in Absorica." Sun Pharma's India business grew 14% YoY primarily due to "55% growth from new products and volume expansion and 45% from price adjustments." The report says "the Ebitda margin is expected to remain around 28%, with return on equity (RoE) and return on capital employed (RoCE) at 17.7% and 16.2%, respectively, by FY27." Ebitda reflects profitability before interest, tax and depreciation costs, while RoE and RoCE measure how efficiently a company generates returns. **BT**

@neetu_csharma